



Office of the Superintendent of
Financial Institutions Canada

Bureau du surintendant des
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IFRS 17 Discussion Canada (OSFI) and South Korea (FSS)

Hosted by: Office of the Superintendent of Financial Institutions of Canada (OSFI)
Toronto, Ontario
December 11, 2019



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OSFI- FSS IFRS 17 Discussion Meeting

AGENDA

Time	Topic
9:30 – 10:00 am	Opening Remarks, Overview of OSFI, and Agenda
10:00 – 10:30 am	IFRS 17 Implementation and Operational Aspects- South Korea
10:30 - 10: 50 am	IFRS 17 General Questions
10:50 – 11:10 am	IFRS 17 Accounting Questions
11:10 – 11:30 am	IFRS 17 Capital Questions
11:30 – 11:40 pm	IFRS 17 Supervision Questions
11:40 – 12:10 pm	IFRS 17 Actuarial Questions
12:10 – 12: 20 pm	Closing Remarks



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OSFI Overview



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OSFI at a Glance

OSFI's approach to supervision is risk-based to reflect nature, size, complexity and risk profile of an institution

Funded mainly through assessments on the financial institutions and private pension plans it regulates

OSFI's regulation and supervision activities play a key role in contributing to public confidence in the Canadian financial system

OSFI employs some 780 people in offices located in Ottawa, Montréal, Toronto and Vancouver



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Protect depositors, policyholders and other creditors by: developing guidance on risk management and mitigation, assessing the safety and soundness of financial institutions, and intervening promptly when corrective actions need to be taken.

OSFI recognizes the importance of allowing financial institutions to compete and take reasonable risks, and it holds boards and senior management ultimately responsible for the viability of their institutions.

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OSFI at a Glance – Who we regulate

Federally Regulated Financial Institutions (386)

- Property & Casualty Insurance Companies
- Banks
- Life Insurance Companies
- Trust Companies
- Loan Companies
- Fraternal Benefit Societies

Foreign Bank Representative Offices (18)



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OSFI at a Glance – OSFI Oversight Activities

Regulation

OSFI regulates by developing rules, interpreting legislation and regulations and providing regulatory approvals for certain types of transactions. It also contributes to new accounting, auditing and actuarial standards.

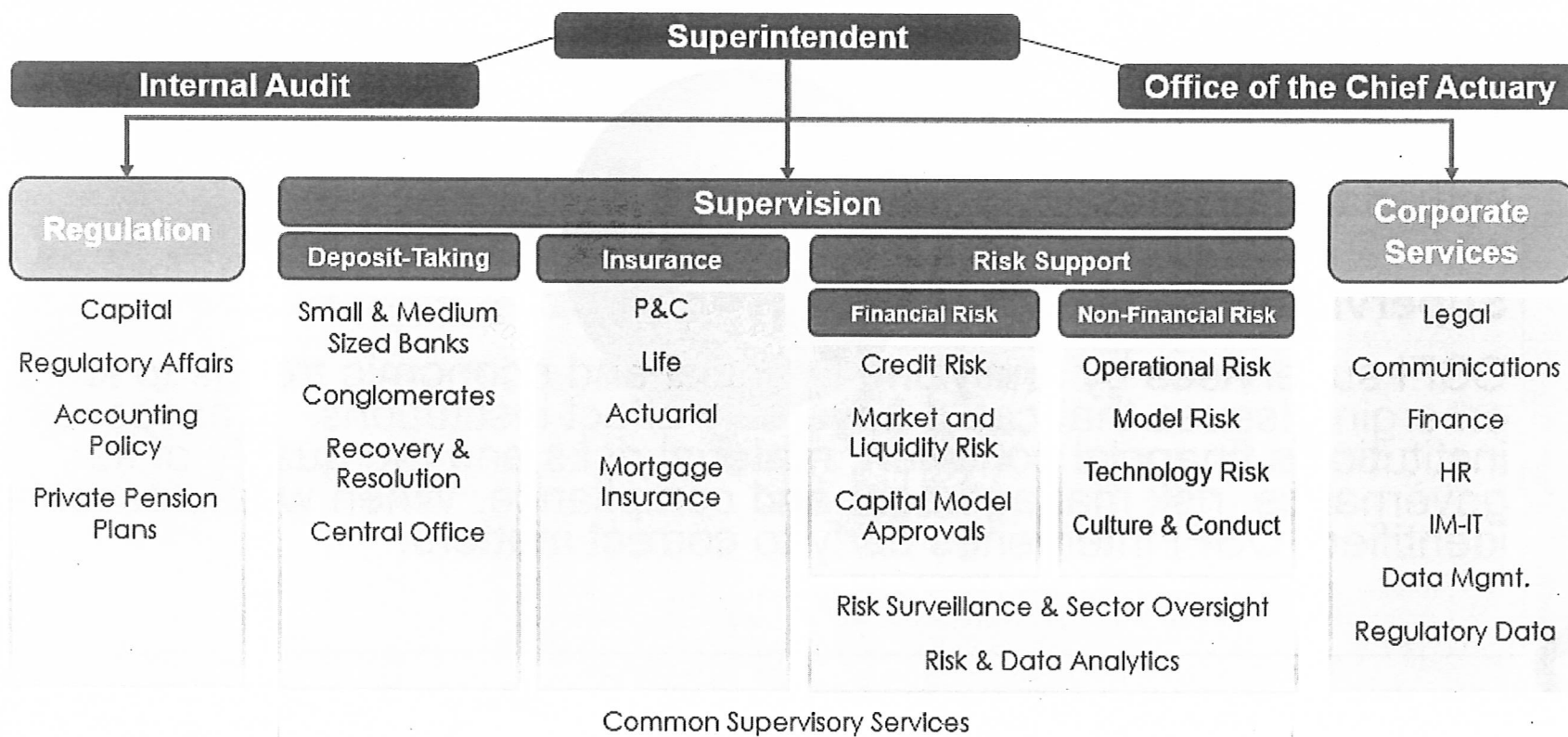
Supervision

OSFI supervises by analyzing financial and economic trends to identify emerging issues that could adversely affect institutions. It assesses an institution's financial condition, material risks and the quality of its governance, risk management and compliance. When weaknesses are identified, OSFI intervenes early to correct matters.



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OSFI- FSS IFRS 17 Discussion Meeting **OSFI at a Glance – OSFI Structure**





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IFRS 17 Implementation and Operational Aspects- South Korea



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I. What is IFRS17?

II. How is Korea going to prepare for IFRS17?

III. IFRS17 Issues and Solutions



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What is IFRS17?

Background to IFRS17

- ◆ A comparable framework will replace wide-ranging accounting treatments for insurance contract and improve consistency with other sectors (e.g, bank).
- ◆ Phased in over two stages to facilitate soft landing

Phase I (IFRS4)(-2021)

- ① Discretion allowed for choosing national insurance accounting methods
 - Amortized-cost method
 - Deferred acquisition cost
 - Profit recognized on a cash basis
- ② Minimum Requirement
 - Liability Adequacy Test
 - Deleting catastrophic reserve

Advanced comparability& transparency

Phase II (IFRS17)(2022-)

- ① Comparable standard for all jurisdictions
 - Fair-value method
 - Profit based on insurance service
 - Presentation based on earning source
- ② Strengthened transparency
 - Enhanced disclosure
 - Consistency with other sectors

2 Valuation of Insurance Contract Liability

Amortised-cost → Fair-Value		
☒ Discount rate : interest rate at inception → current market interest rate		
☒ Composition of liability : addition of RA & CSM on BEL		
	IFRS4	IFRS 17
Valuation method	◆ Lock-in Method - use of assumptions locked in at inception - incomplete measure for option & guarantees	◆ Lock-out Method - measured using current assumptions and will fully reflect option & guarantees
Com-position	◆ Discount rate : interest rate at inception of insurance contract	◆ Cash-flow : Benefit +Expense– Gross P ◆ Discount rate : current market interest rate ◆ Risk Adjustment : uncertainty of future cash-flow ◆ Contract Service Margin : PV of future profit
Additional P Net P Expense Safety margin Benefit Gross P CSM RA Expense Benefit		



2 Valuation of Insurance Contract Liability (continued)

The new approach

- ☒ All insurance contracts measured as the sum of :
 - o Fulfillment cash flows
 - The present value of probability-weighted expected cash flow
 - Plus an explicit risk adjustment for non-financial risk
 - o Contractual Service Margin(CSM)
 - The unearned profit from the contract

Change of current assumptions

- ☒ Fulfillment cash flows are updated each reporting period
- ☒ Changes in estimates of future cash flow :
 - o If related to past coverage -> Profit & Loss
 - o If related to future coverage -> adjust CSM
- ☒ Changes in financial market assumptions(eg, interest rates)
 - o Choice of accounting policy for presentation of insurance finance expense :
 - in Profit & Loss OR
 - disaggregated into Profit & Loss and Other Comprehensive Income



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2 Valuation of Insurance Contract Liability (continued)

Discount rates

- ☒ Discount rates should reflect the characteristics of the liability cash flows
- ☒ Discount rates should be consistent with observable market prices for financial instruments with cash flows with similar characteristics to insurance contract
- ☒ Operationally, entity can use either :
 - o a bottom up approach
 - risk free interest rate + illiquidity premium OR
 - o a top down approach
 - return on asset held – credit spread



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3 Recognition of Profit & Loss

Investment components & Expense accounting

- ☒ Investment components excluded from revenue
- ☒ Presentation based on earning sources of insurance contract

	IFRS4		IFRS 17
Revenue	◆ More profit on the early stage of insurance period ◆ Including investment feature		◆ Level profit through the whole insurance period ◆ Excluding investment feature
Acquisition cost	◆ Making it expensed during 7 years after deferring acquisition cost as asset		◆ Making it expensed for whole insurance period after deferring acquisition cost by reducing insurance liability
Presentation	◆ Profit recognized by the difference between premium assumptions and actual cash flow ◆ No disclosure for earning sources		◆ Profit recognized by the difference between liability assumptions and actual cash flow ◆ Disclosure for various earning sources



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3 Recognition of Profit & Loss (continued)

Income statement

☒

Revenue consists of expected benefit, expected expense, risk adjustment, amortization of CSM

☒

Saving related components of cash outflows such as surrender or maturity outgo are excluded from insurance expense

IFRS4 Income Statement		IFRS 17 Income Statement	
Insurance revenue	Earned premium	Insurance revenue	Expected benefit, allocation of expected acquisition cost
Insurance expense	Actual paid benefit		Change of RM, amortization of CSM
	Actual paid surrender amount, payment at maturity		Actual paid benefit
	Allocation of actual acquisition cost / maintenance cost	Insurance expense	Allocation of expected acquisition cost
	Increase of insurance liability		Difference between (actual-expected) acquisition cost
Insurance service result		Insurance service result	
Investment revenue	Investment income	Investment revenue	Invest income
Investment expense	Property management cost, etc	Investment expense	Interest on insurance liability, property management cost, etc
Investment service result		Investment service result	



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Ⅱ How is Korea going to prepare IFRS17?

1 How to approach IFRS17 for attaining supervisory goals

1) Objectives for Reforming Accounting Regimes

- ① Better protecting policyholders
- ② Ensuring insurers' financial solvency
- ③ Strengthening practical effectiveness in applying SAP and PAP
- ④ Improving consistency of GAAP, SAP, PAP with global standards

Note) GAAP(Generally Accepted Accounting Principle),

SAP(Statutory Accounting Principle), PAP(Prudential Accounting Principle)

1 How to approach IFRS17 for attaining supervisory goals

2) Change of Insurance Accounting Regimes

AS-IS	TO-BE
IFRS4(GAAP) = SAP = PAP(RBC)	IFRS17(GAAP) ≠ SAP ≠ PAP(K-ICS ¹⁾)
•IFRS4 permits continuation of existing practices including <u>insurance liabilities</u> measured by traditional valuation basis. •SAP provides for <u>accounting rules</u> for supervision of insurers. •PAP for calculation of solvency ratios <u>is based on SAP which includes IFRS4 insurance liability.</u>	•IFRS17 provides principle-based standards including <u>measurement of insurance liabilities at fair value.</u> •SAP will be amended²⁾ within the <u>framework of IFRS17</u> for supervision of insurers. •PAP for calculation of solvency ratios <u>will be based on PAP which will measure all assets and liabilities at fair value.</u>

Note 1) K-ICS (Korean-Insurance Capital Standard) will be independently formulated on the basis of Solvency II and Insurance Capital Standard.

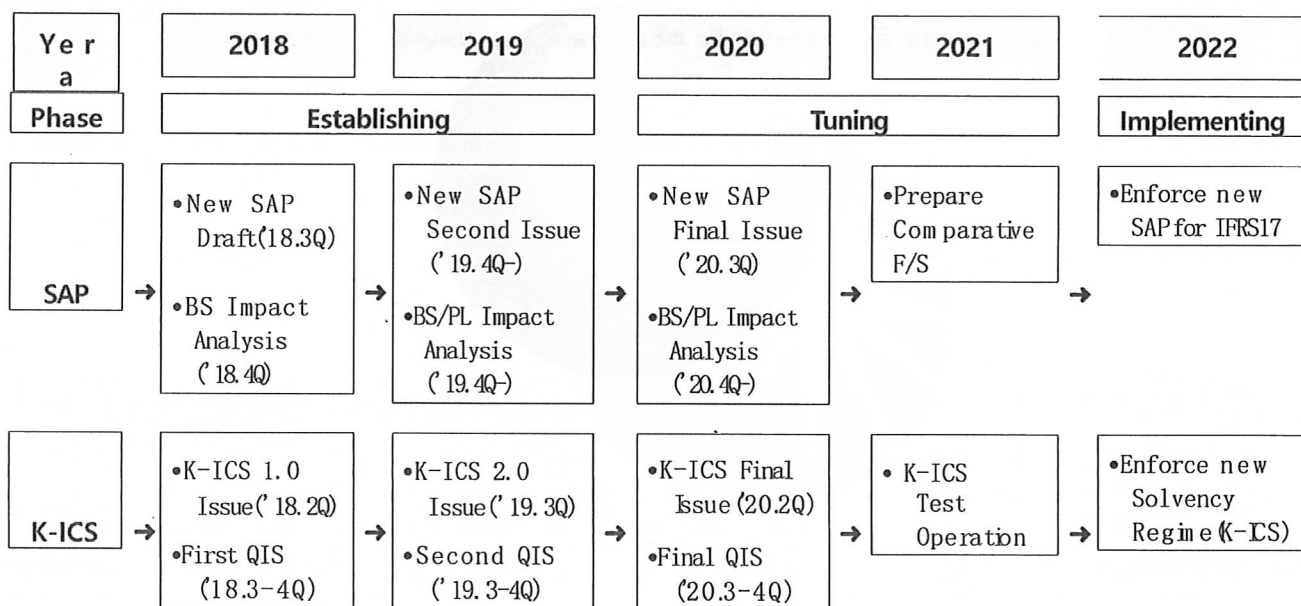
2) SAP will be applied to the bottom-up approach for discount rate only.



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1 How to approach IFRS17 for attaining supervisory goals

3) Timeline of New Regimes



*Timeline of new regimes preparing for IFRS17 implementation may be subject to change.



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2 Reforming the Statutory Accounting Principle (SAP)

Contract Service Margin	Key issues	
Risk Adjustment	◆ Increase in importance of actuarial assumption estimate • Profit & Losses in this reporting period will be determined by the difference between expected cash-flow and actual cash-flow - application of optimistic assumption may increase probability of loss in the subsequent reporting period ☞ How to provide actuarial assumptions in SAP?	
Time value	◆ IFRS17 provides definition of the contract boundary in terms of general principle, leading to lower comparability of financial position • contract boundary : 1) full reflection of related risk, 2) compel the policyholder to pay the premium ☞ renewal insurance product, cash flow after renewal (eg, rider to cover the actual damage)?	
PV of future cashflow	Expected value of Future cash-flow	



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2 Reforming the Statutory Accounting Principle (SAP) (continued)

Contract Service Margin		Key issues
Risk Adjustment		
Time value		
PV of future cashflow	Expected value of Future cash-flow	◆ Insurance liability includes the fair value amount of policy loan • required to estimate new policy loan, early repayment ratio, additional interest rate for the whole period of insurance contract ☞ How to estimate new policy loan, early repayment ratio, additional interest rate?
		◆ Expense that cannot be directly attributed to the portfolio of insurance contracts is recognized in Profit & Loss when incurred (eg, some product development cost, training cost) • IFRS17 doesn't provide any specific rules to allocate cost to contract portfolio, contract group, or contract level ☞ How to make rule to allocate the cost ?

- ◆ Insurance liability includes the fair value amount of policy loan
 - required to estimate new policy loan, early repayment ratio, additional interest rate for the whole period of insurance contract

☞ How to estimate new policy loan, early repayment ratio, additional interest rate?

- ◆ Expense that cannot be directly attributed to the portfolio of insurance contracts is recognized in Profit & Loss when incurred (eg, some product development cost, training cost)

- IFRS17 doesn't provide any specific rules to allocate cost to contract portfolio, contract group, or contract level

☞ How to make rule to allocate the cost ?



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2 Reforming the Statutory Accounting Principle (SAP) (continued)

Contract Service Margin	Key issues
Risk Adjustment	
PV of future cashflow	
Time value	◆ General principle to measure discount rate • Bottom-up : risk free rate + illiquidity premium • Top-down : return on asset held – credit spread ⇒ discount rate of SAP(bottom-up or Top-down)?
Expected value of Future cash-flow	◆ IFRS17 doesn't provide any guideline regarding risk free rate and illiquidity premium and so on ⇒ How to decide risk free rate and illiquidity premium

※ Comparison of IFRS17 & K-ICS discount rate

$$\begin{array}{l} \text{Risk free rate} \\ \text{(Government bond)} \end{array} + \left[\begin{array}{l} \text{(IFRS17) illiquidity premium} \times 100 \\ \text{(K-ICS) volatility adjustment (=illiquidity premium} \times 80^*) \end{array} \right]$$

*Application ratios may be subject to change considering volatility of net asset value.

2 Reforming the Statutory Accounting Principle (SAP) (continued)

Contract Service Margin		Key issues
Risk Adjustment		
PV of future cashflow	Time value	
	Expected value of Future cash-flow	

◆ Measure RA for non-financial risks at entity level by reflecting risk correlation, then allocate to insurance portfolios • Risk for RA: mortality, longevity, lapse, expense, etc except for investment(interest) risk ⇒ How to measure the RA under SAP(Confidential Level, risk correlation, etc),
◆ Insurer can choose one among various methods such as Confidential Level Technique, Cost of Capital to measure the RA • Although allowance for various methods, requires to disclose equivalent confidence level of RA, if Confidential Level Technique is not used ⇒ Which method to measure the RA under SAP ?

◆ Measure RA for non-financial risks at entity level by reflecting risk correlation, then allocate to insurance portfolios

- Risk for RA: mortality, longevity, lapse, expense, etc except for investment(interest) risk

☞ How to measure the RA under SAP (Confidential Level, risk correlation, etc),

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- Although allowance for various methods, requires to disclose equivalent confidence level of RA, if Confidential Level Technique is not used

☞ Which method to measure the RA under SAP ?



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2 Reforming the Statutory Accounting Principle (SAP) (continued)

Contract Service Margin		Key issues
PV of future cashflow	Risk Adjustment	◆ Adjust the CSM at subsequent measure by application of General Model or Variable Fee Approach(VFA) • GM : economic assumption change -> Profit & Loss, OCI • VFA : economic assumption change -> CSM adjustment ☞ Whether apply VFA for interest sensitive insurance product, participation product, variable product?
	Time value	
	Expected value of Future cash-flow	◆ Choice of transition method at transition date, among retrospective method, modified retrospective method, fair value method • IF retrospective approach impracticable, modified retrospective approach or fair value approach ☞ How to measure the CSM at IFRS17 transition under SAP?



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III IFRS17 Issues and Solutions

Issues	Solutions
① Some life insurers may be heavily impacted by IFRS17 due to the recent low interest rate environment.	•(FSS) SAP has been formulated within the range of IFRS17 in consideration of its financial impact and comparability through IFRS17 experts task force. •(Companies) Insurers are preparing for capital increase (e.g., issuance of new stocks or hybrid securities) and strengthening asset-liability management.
② In practice, there is some difficulty in interpreting and applying IFRS17 due to its principle-based nature.	•(KAI) KAI is currently running an application support practice task force, which is composed of experts (supervisors, Big4 accountants and actuaries). •(IASB IFRS17 TRG) In order to resolve issues regarding IFRS17 application, the FSS has been closely working with the IFRS17 TRG.

*KAI (Korea Accounting Institute), IAK (Institute of Actuaries of Korea), KIDI (Korea Insurance Development Institute)

III. IFRS17 Issues and Solutions

Issues	Solutions
② In practice, there is some difficulty in interpreting and applying IFRS17 due to its principle-based nature.	•(IAK) The IAK is running an actuarial experts task force to formulate and provide practice notes for insurers' actuaries.
③ Insufficient professional resources, especially for small or medium-sized insurers, may delay the establishment of the IFRS17 accounting system.	•(FSS) The FSS will regularly monitor and encourage the establishment of the accounting system for IFRS17 •(KIDI) In cooperation with the KIDI, small or medium-sized insurers are establishing IFRS17 accounting systems. •(Insurance Association) The Insurance Association collected and published the best practices of large insurers for the reference of small or medium-sized insurers.



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IFRS 17 General Questions

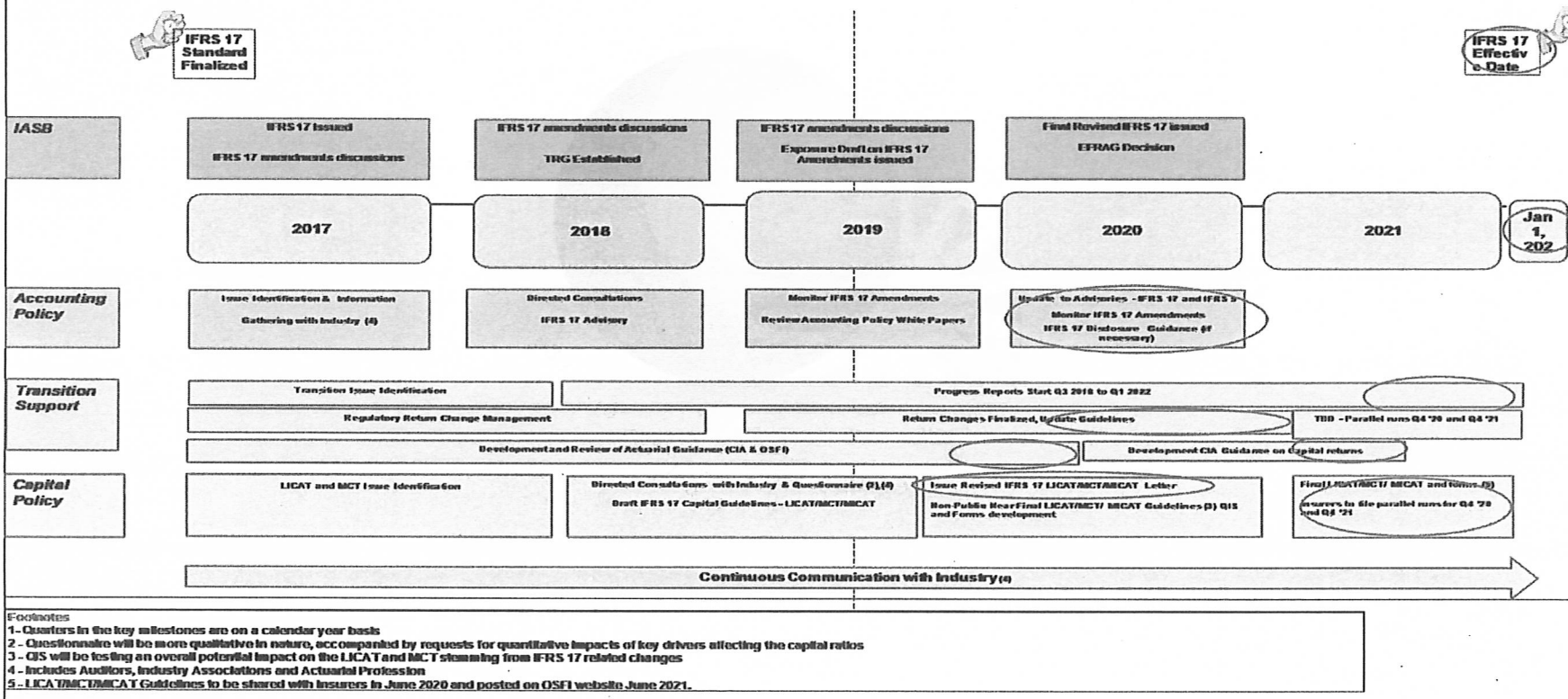


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OSFI- FSS IFRS 17 Discussion Meeting Project Timeline - Revised 2022

Tentative
Changes

Project Summary Timeline⁽¹⁾:



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For (Ref)
H2
1:

OSFI- FSS IFRS 17 Discussion Meeting Project Risks

Risk Description	Risk Mitigation
a) Tools and training – supervisors not ready for 2021(2)* implementation	• Knowledge sharing and training to be timely, efficient and effective – training timeline • Regulatory returns shared with industry for information purposes (June 2019) posted for public consultation (Nov 2019) • Capital QIS – working/supporting industry as it completes LICAT/MCT QIS due back to OSFI October 31, 2019
b) Insurers not being ready to implement IFRS 17 on Jan 1, 2021(2)*	• Monitor industry preparedness through semi-annual progress reporting requirements • Continue monitoring industry progress
c) Failure to effectively communicate with industry and public on OSFI expectations	• Regularly issue messages on status of IFRS 17 to supervisors and open letter to industry • Attend industry (CLHIA and IBC), and risk management seminars.
d) Resources to support transition @ OSFI	• Steering committee chairs to monitor effectiveness of resources assigned to IFRS 17

***IFRS 17 Amendments Exposure Draft includes a deferral of IFRS 17 by one year to January 1, 2022.**



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OSFI- FSS IFRS 17 Discussion Meeting Industry Concerns

Industry concerns	OSFI's view
a) Availability of third-party IT solutions, which are fully tested and available for implementation. Complexity of integrating new measurement engine with existing customers' database & G/L	- Continue monitoring industry preparedness through the semi-annual progress reporting requirements - Discussions with IT service providers - Moody's (dominant IT provider to life industry) has an IFRS 17 technology solution in testing phase
b) Actuarial application guidance does not narrow range of practice	Actuarial division working with CIA to narrow range of practice
c) Endorsement of IFRS 17 by Europe impacting the IASB – potential deferral past Jan 2021 and/or IASB changing the standard	- Continue monitoring the IASB + EU/EFRAG IFRS 17 endorsement process - Prepare communication plan to industry
d) Limitations in availability of resources (particularly actuaries and IT systems providers) will make it difficult to meet IFRS 17 timeline	Industry should not wait to start implementation process due to resource restrictions
e) Impact of IFRS 17 on industry profitability	TBD
f) Impact of IFRS 17 on income tax in Canada	TBD



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General Questions submitted

- ☐ Overview of Canadian insurers and reinsurers IFRS 17 project (Q8, Q5.1)
- ☐ What is the usage of IFRS 17 for prudential purposes? (Q1)
- ☐ Validation/verification process of insurance liabilities (Q7)



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IFRS 17 Accounting Questions



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Accounting Policy Update

Objective:

Review IFRS 17 and its available options for prudential concerns. If necessary, issue guidance to restrict options that create a concern.

Workstream	Description
A 1- Scope Identification	Summarize areas of the IFRS 17 standard that create financial statement and regulatory capital comparability concerns to determine if guidance should be explored to support a high quality and robust implementation of IFRS 17 in Canada.
A2 – Measurement of Insurance Contract Liabilities	Summarize areas of the IFRS 17 standard that create financial statement and regulatory capital comparability concerns for Insurers with respect to the following topics: ➤ Discount Rates > Risk Adjustment > Contractual Service Margin > Estimating Fulfilment Cash flows ➤ Transition Early Adoption > IFRS 9 FV Model option > Application of Reinsurance ➤ Application of unbundling > IFRS 9 OCI vs P&L
A3 – Level of Aggregation and Onerous Contracts	Summarize areas of the IFRS 17 standard that create financial statement and regulatory capital comparability concerns for Insurers with respect to Level of Aggregation and determination of Onerous Contracts:
A4 – Variable Fee Approach	Summarize areas of the IFRS 17 standard that create financial statement and regulatory capital comparability concerns for Insurers with respect to variable fee approach
A5 – Premium Allocation Approach	Summarize areas of the IFRS 17 standard that create financial statement and regulatory capital comparability concerns for Insurers with respect using the premium allocation approach
A6 – Financial Guarantees	Summarize areas of the IFRS 17 standard that create financial statement and regulatory capital comparability concerns for Insurers with respect to accounting for financial guarantees



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**A7 – Accounting Disclosure
Guideline**

TBD

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Accounting Questions submitted

- ☐ Measurement of insurance liabilities for incurred claims (Q3)
- ☐ Premium Allocation Approach (Q4)
- ☐ Classification of reinsurance contracts into portfolios (Q5.3)
- ☐ Transition to IFRS 17 (Q6)



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IFRS 17 Supervision Questions



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Transition Support Update

Workstream	Update
B 1 – Communications Stream	Continuing communication with stakeholders including auditors, industry associations, actuarial professionals, and international regulators
B 2 – Regulatory Returns and Guidelines Stream	- Updating regulatory returns for IFRS 17 impacts with a public consultation in Nov. 2019 - Expected finalization of regulatory returns – June 2020
B 3 – FRFI Implementation Stream	- Monitoring of insurers' IFRS 17 implementation progress through semi-annual progress reports - Update IFRS 17 transition advisory to reflect two additional semi-progress reports if the one year IFRS 17 deferral is approved by IASB - Ongoing - IFRS 17 knowledge-sharing and supervisors training
B 4 – Actuarial Guidance Support Stream	- Continue to support CIA IFRS 17 working groups and committees as they develop Canadian-specific guidance - CIA to publish expected publication to help insurers manage their Oct. 2019 QIS preparation
B 5 – Supervisory Preparedness	Objective is to determine appropriate performance metrics and develop monitoring tools that are IFRS 17 compliant.



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OSFI- FSS IFRS 17 Discussion Meeting Supervision Question

☐ Will OSFI mandate external validation of insurance contract liabilities by independent experts? (Q7.1)

Insurance Companies Act of Canada requires audited financial statements and this requirement will remain the same under IFRS 17

OSFI Guideline E-15 requires all elements of the Appointed Actuary's work to be reviewed at least every 3 years.

Material changes affecting the valuation of policy liabilities or ceded reinsurance assets to be reviewed annually.



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- appointed actur* (in a box)
- appointed actur* (circled)

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Supervision Question

☐ Do you have any system or safeguard in place to ensure independence of the department (or staff) in charge of producing optimal actuarial assumptions? Will any change be expected when IFRS 17 becomes effective? (Q7.2)

Appointed Actuary role outlined in Insurance Companies Act of Canada

Corporate Governance Guideline clarifies Board's responsibilities for Head of Actuarial Oversight Function:

- Appointment, performance review and compensation ✓
- Succession plans ✓
- Mandate, resources and budget ✓

Also expect direct access to CEO, Senior Management & Board and in camera meetings with Board

No change under IFRS 17 ✓



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IFRS 17 Capital Questions



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Capital Guidance Support

Objective:

Review the impact of IFRS 17 on capital guidelines and communicate changes to ensure the new accounting standard is addressed in the capital frameworks, while maintaining a capital framework consistent with current policies and minimizing potential industry-wide impacts.

Guideline deliverables include:

- 2022 Life Insurance Capital Adequacy Test (LICAT),
- 2022 Minimum Capital Test (MCT), and
- 2022 Mortgage Insurance Capital Adequacy Test (MICAT)

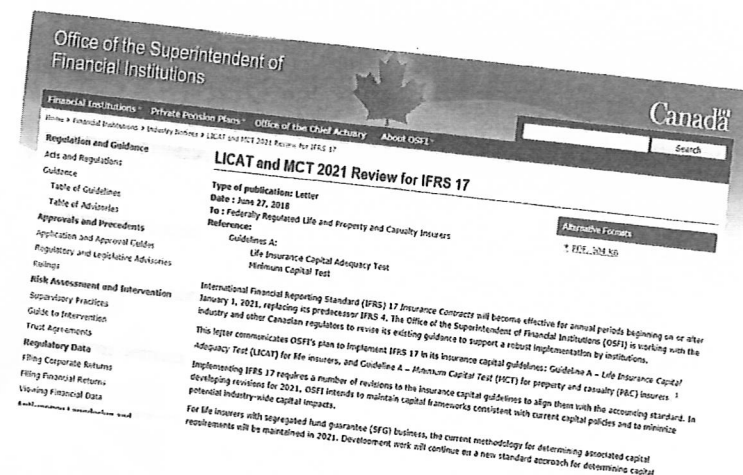


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Capital Implementation Plan for IFRS 17

In June 2018, OSFI communicated its plan to update the LICAT and MCT for IFRS 17:

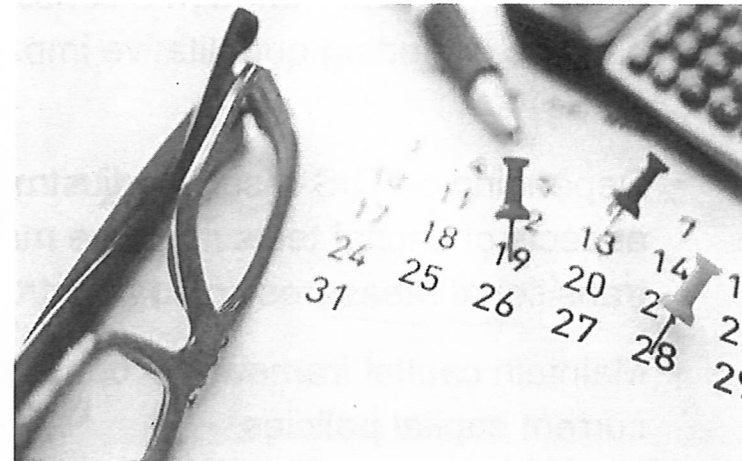
- Work with industry through a consultative process, including quantitative impact studies (QISs)
- Depending on QIS results, adjustments to aspects of capital tests might be made or transitional measures could be introduced
- Maintain capital frameworks consistent with current capital policies
- Minimize potential industry-wide capital impacts
- For life insurers, maintain current methodology for determining capital requirements for segregated fund guarantees



In August 2019 an update letter relating to IFRS 17 activities was published on OSFI's website. If the deferral of the IFRS 17 effective date is confirmed, OSFI will update milestones and timing communicated in its June 2018 letter accordingly.

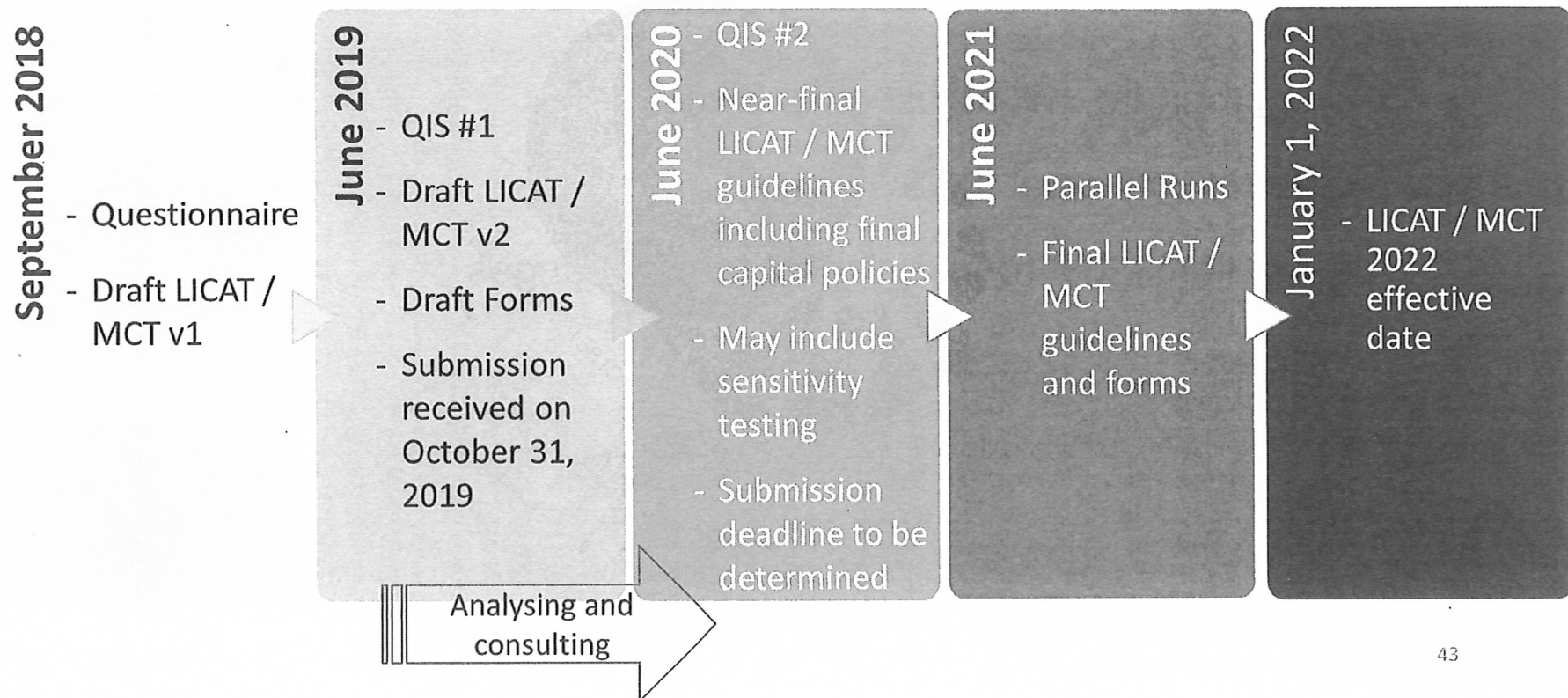
Capital Implementation Plan for IFRS 17 cont'd

- Given LICAT is based on IFRS 4 CALM regime, IFRS 17 will trigger some changes to the capital test.
- QIS results, combined with consultations, will help OSFI determine if it needs to adjust the draft LICAT / MCT methodologies, calibrate and/or introduce transitional measures.



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Timelines for changes to LICAT and MCT related to IFRS 17



Capital Plan Post IFRS 17 Effective Date

- OSFI will continue to review the capital guidelines on a regular basis after 2022
- As appropriate, will adjust guidelines:
 - To reflect actual IFRS 17 data
 - For items that require capital policy changes



OSFI- FSS IFRS 17 Discussion Meeting Capital Questions

☐ Accounting of reinsurance contracts for solvency purpose? (Q5.2)

LICAT and MCT use GAAP Accounting as the basis for their solvency measures. This is currently IFRS4 but will move to IFRS17.

- Registered Reinsurance* – Continue to measure risks net of reinsurance.
- Unregistered Reinsurance – Deduct from available capital unless risk mitigation arrangements in place e.g. suitable collateral.

*Registered reinsurance is where the insurer is regulated by OSFI or the arrangement meets specific requirements.



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OSFI- FSS IFRS 17 Discussion Meeting
Capital Questions

- ☐ For solvency purposes will you allow a mismatch between reinsurance contracts and underlying insurance contract? (Q5.4)

LICAT and MCT use GAAP Accounting as the basis for their solvency measures. This is currently IFRS4 but will move to IFRS17.

- Accounting mismatch between reinsurance contracts and underlying insurance contracts are not specifically addressed in LICAT / MCT.



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IFRS 17 Actuarial Questions



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Actuarial Process

Activity	Description
IFRS 17 Risk Assessment	Actuarial Division examined the key measurement aspects of IFRS 17 (Discount Rate, Risk adjustment etc.) to assess if any aspects presented a prudential risk.
Actuarial Guidance Work Stream	Actuarial Division participates with the industry working groups that are creating the actuarial guidance and standards for IFRS 17. A key goal is to share drafts within OSFI and to form a one-office view to share back with the industry.
Capital Work Stream	Actuarial Division supports Capital Division's assessment of the impacts of IFRS 17 on regulatory capital as well as the QIS (Quantitative Impact Study) process. Actuarial Division released and actuarial QIS alongside the capital QIS.
Other	Actuarial Division participates in various other work such as internal training, information gathering, discussions with the industry (insurers, auditors etc.)



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OSFI- FSS IFRS 17 Discussion Meeting Actuarial Questions submitted

Measurement of insurance liabilities for remaining coverage (Q2)

- Future cash flow estimation
- Discount rate methods
- Contractual Service Margin
- Insurance acquisition cash flows



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Many practices
No life → dir an

GA → (mutil
1998 rule) ②

Notes

7. coupon

(5.2p)

interest
per period

27 years
50 years
(escalated)

(cash flow)
cash flow

not included

LTp - dms

(2.8p)
Main

(4.5)



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Closing Remarks



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